

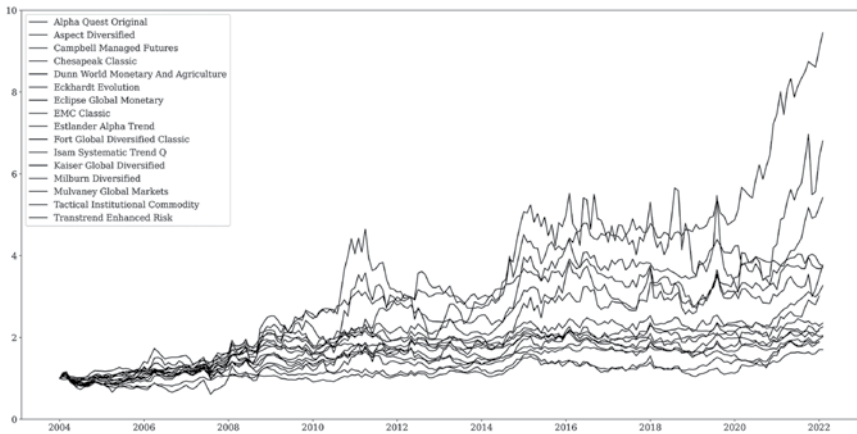


FIGURE 3.2 Performance comparison of futures funds since 2004: unadjusted.

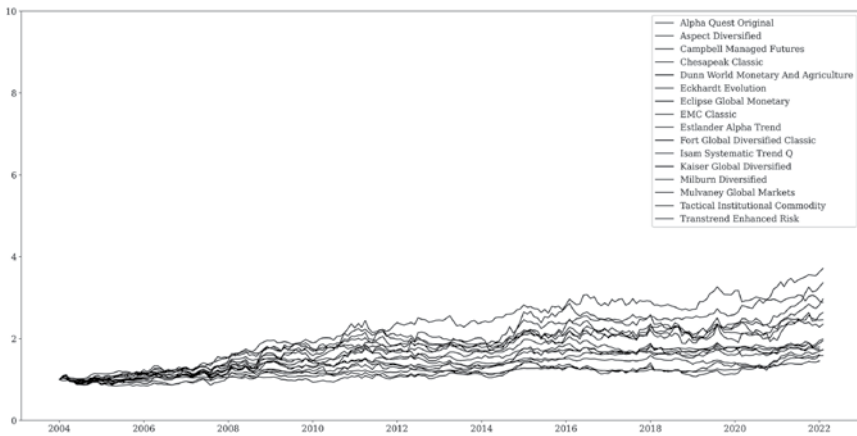


FIGURE 3.3 Performance comparison of futures funds since 2004: normalised for volatility.

Obviously these strategies have very different risk profiles because their annualised return numbers and risk numbers come out quite far apart, and so you may be wondering where I am going with this argument about them all doing almost the same thing. Have a look at Figures 3.2 and 3.3, which should help prove my point. Figure 3.2 shows the performance of a representative group of futures funds rebased to 1 in 2004. The data is the pure track record of each manager and as you can see they don't look too similar at first glance except that almost all were profitable in this period. The